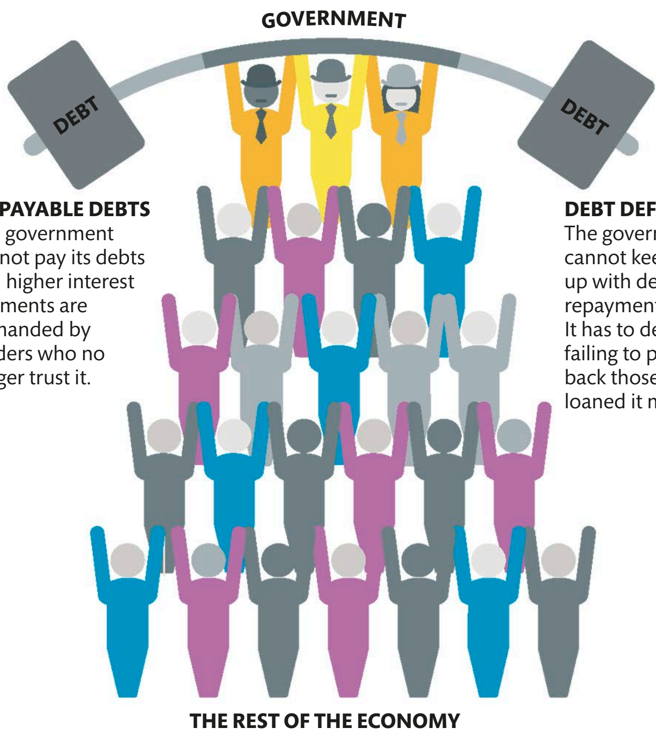
Why governments fail financially

It is possible for a government to fail financially, and there are two main ways this can happen. The first is when it loses the ability to meet its obligations to repay its debt, potentially leading to a default. The second is when it fails to reassure the public that the value of its currency, or money itself, can still be trusted, potentially leading to hyperinflation. Fundamentally both causes are due to a loss of public trust. So, if a government cannot be trusted, it is more likely to fail.



UNPAYABLE DEBTS
The government cannot pay its debts and higher interest payments are demanded by lenders who no longer trust it.

DEBT DEFAULT
The government cannot keep up with debt repayments. It has to default, failing to pay back those who loaned it money.

Uncontrollable debt and default

If a government has taken on excessive borrowing and cannot repay its creditors, it may cut spending and raise taxes, but if it cannot shift the burden, a default becomes inevitable. *See pp.146–147*

A OUTCOME

Loss of public trust and financial failure

When a government and the institutions of government lose trust through their own incompetence, corruption, or as a result of losing a war, there is a major crisis. To prevent this loss of trust becoming disastrous, a democracy may seek to remove its government.